

Introduction to Management

Strategy and Organization Design

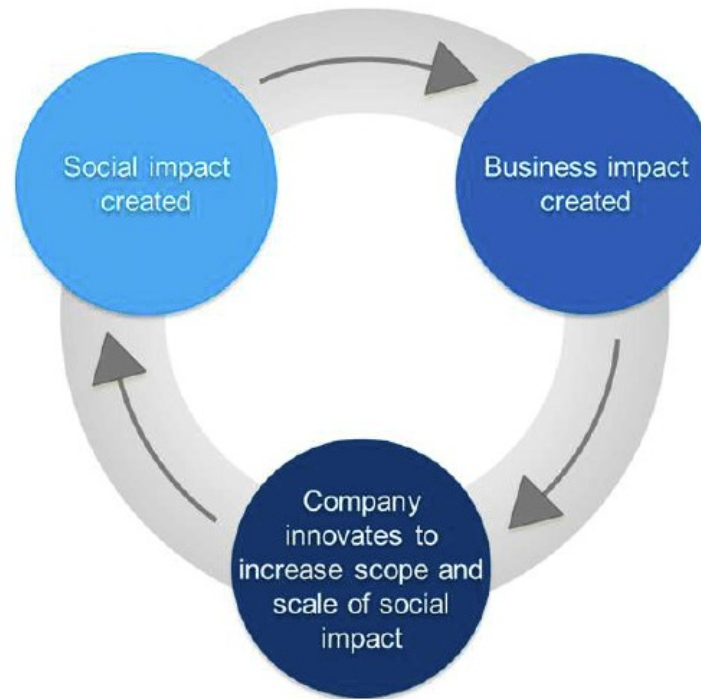
- **What and whom you need to deal or compete to be successful in market?**

Five Forces Model by Porter



Shared Value Creation

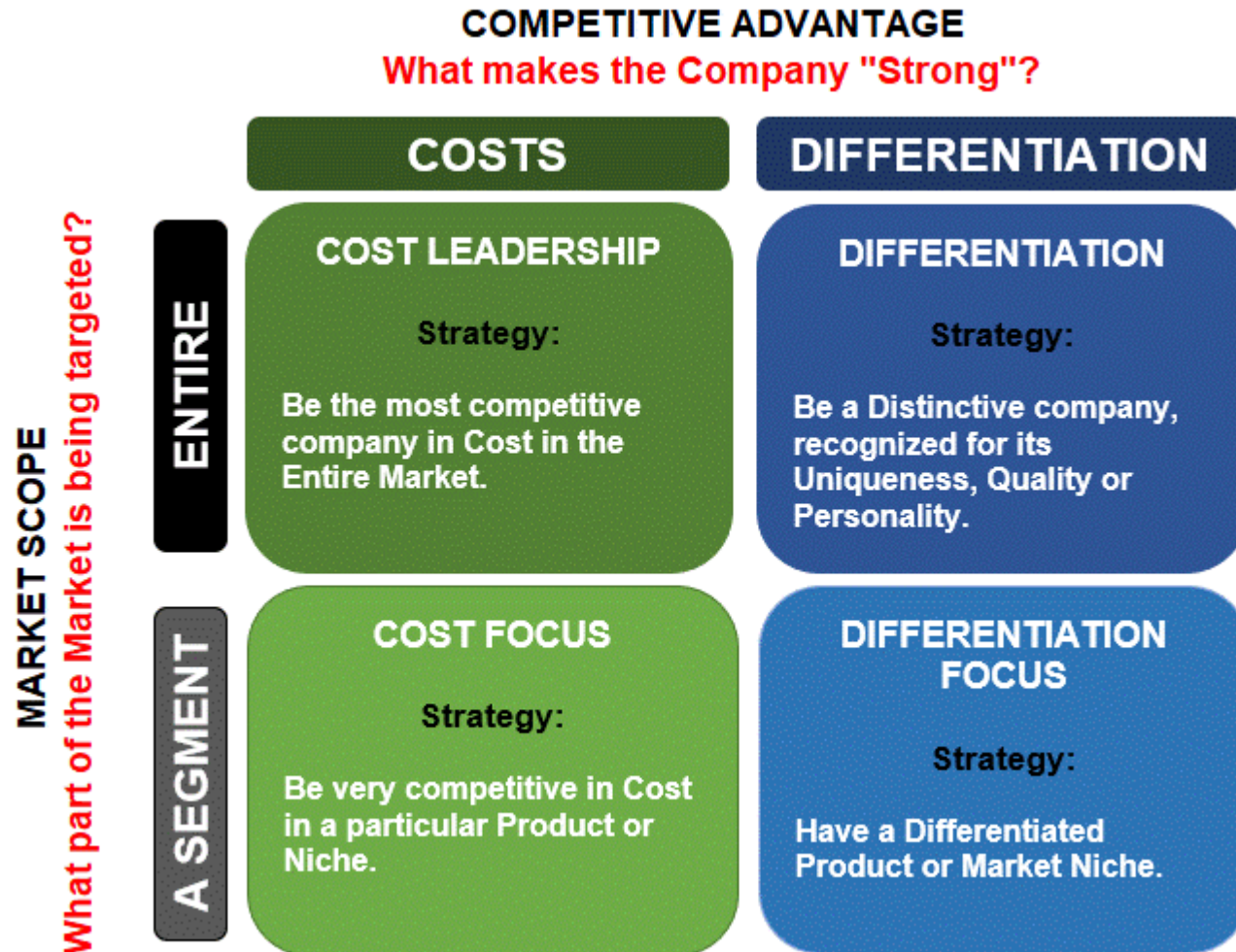
Shared value creates a virtuous cycle



Organizational Strategy



Generic Strategies

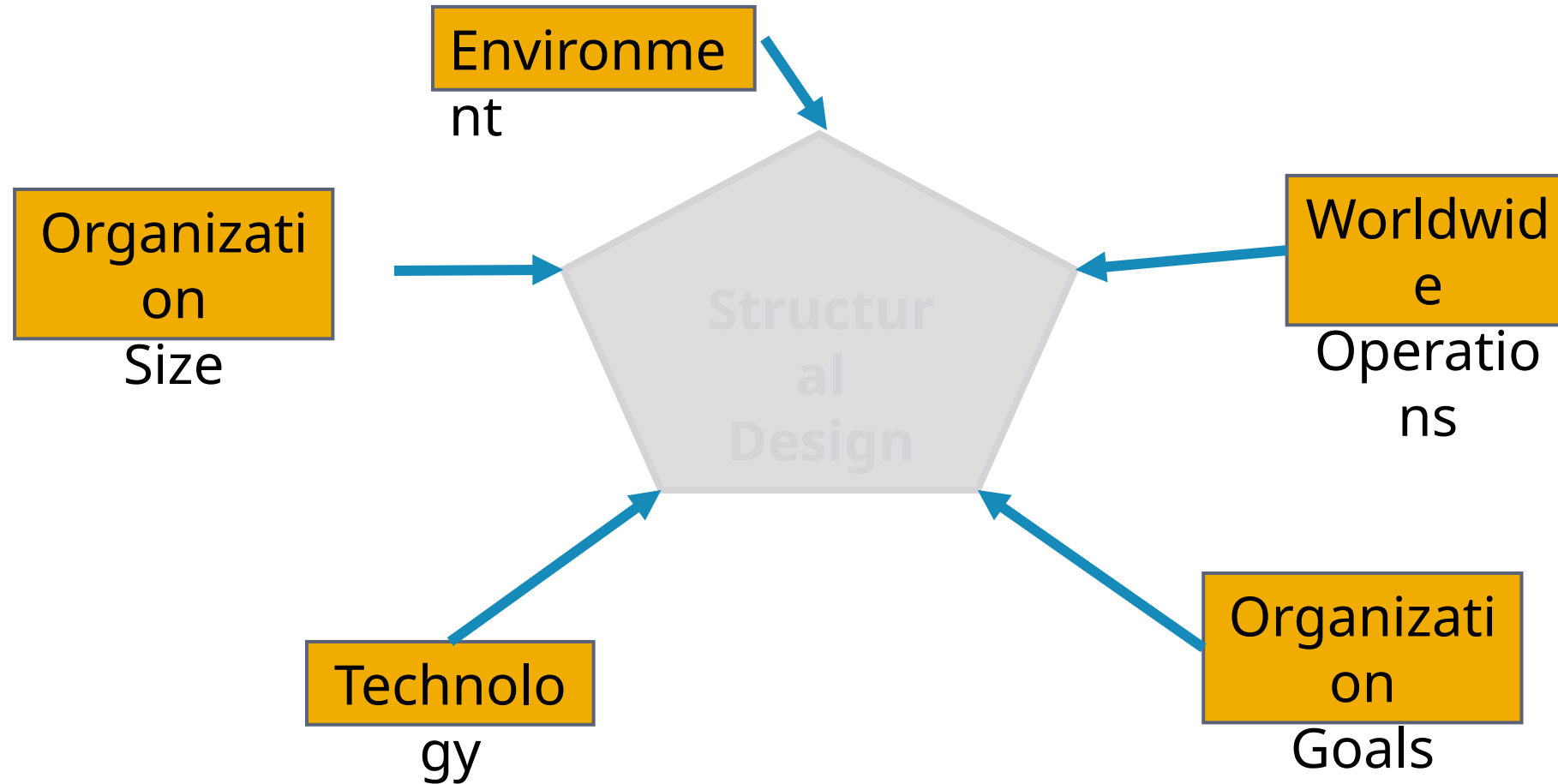


S STRENGTHS	W WEAKNESSES	O OPPORTUNITIES	T THREATS
• Things your company does well • Qualities that separate you from your competitors • Internal resources such as skilled, knowledgeable staff • Tangible assets such as intellectual property, capital, proprietary technologies etc.	• Things your company lacks • Things your competitors do better than you • Resource limitations • Unclear unique selling proposition	• Underserved markets for specific products • Few competitors in your area • Emerging need for your products or services • Press/media coverage of your company	• Emerging competitors • Changing regulatory environment • Negative press/media coverage • Changing customer attitudes toward your company  WordStream

Corporate Level Strategies

- Expansion Strategies
- Diversification
- Vertical Integration
- Stability
- Divestment:
- Liquidation: Insolvency and Bankruptcy
(www.mca.gov.in/MinistryV2/restructuring+and+liquidation.html)

Contingencies Influencing Structural Design



Gareth Jones described the basic challenges of organization design

Basic Challenge of Organizational Design 1

People in this org take on new tasks as the need arises and it's very unclear who is responsible for what, and who is supposed to report to whom. This makes it difficult to know on whom to call when the need arises and difficult to coordinate people's activities so they work together as a team.

Differentiation: Vertical and Horizontal Challenge Establishing and controlling division of labor or degree of specialization

Basic Challenges of Organizational Design 2

We can't get people to communicate and coordinate in this organization. Specifying tasks and roles is supposed to help coordinate the work process, but here it builds barriers between people and function.

Challenge of balancing differentiation versus integration

Basic Challenges of Organizational Design 3

People in this org don't take responsibility or risks. They are always looking to the boss for direction and supervision. As a result, decision making is slow, and we miss out on a lot of opportunities to create value.

Challenge of balancing centralization and decentralization

Basic Challenges of Organizational Design 4

People in this org pay too much attention to the rules. Whenever I need somebody to satisfy as unusual customer request or need real quick service from another function, I can't get it because no one is willing to bend or break the rule.

Challenge of balancing standardization and mutual adjustment

Nature of Interventions for Different Design Challenges

Ensuring the Unity of Command, Maintain optimal span of control and Communication

Checking and revising Job description in view of real life experience and org design before recruitment	Differentiation: Vertical and Horizontal
Identifying integration mechanism by creating communication opportunities and integration roles	Challenge of balancing differentiation versus integration
Defining and regularly reviewing the processes, Identifying core/peripheral/routine job/automation balancing delegation and Development	Challenge of balancing centralization and decentralization
Optimum use of norms, rules SOPs	Challenge of balancing standardization and mutual

Functional Organization



The Functional Form

Advantages

- Promotes skill specialization
- Reduces duplication of scarce resources and uses resources full time
- Enhances career development for specialists within large departments
- Facilitates communication and performance because superiors share expertise with their subordinates
- Exposes specialists to others within same specialty

Disadvantages

- Emphasizes routine tasks; encourages short time horizons
- Fosters parochial perspectives by managers and limits capacity for top-management positions
- Multiplies interdepartmental dependencies; increases coordination and scheduling difficulties
- Obscures accountability for overall results

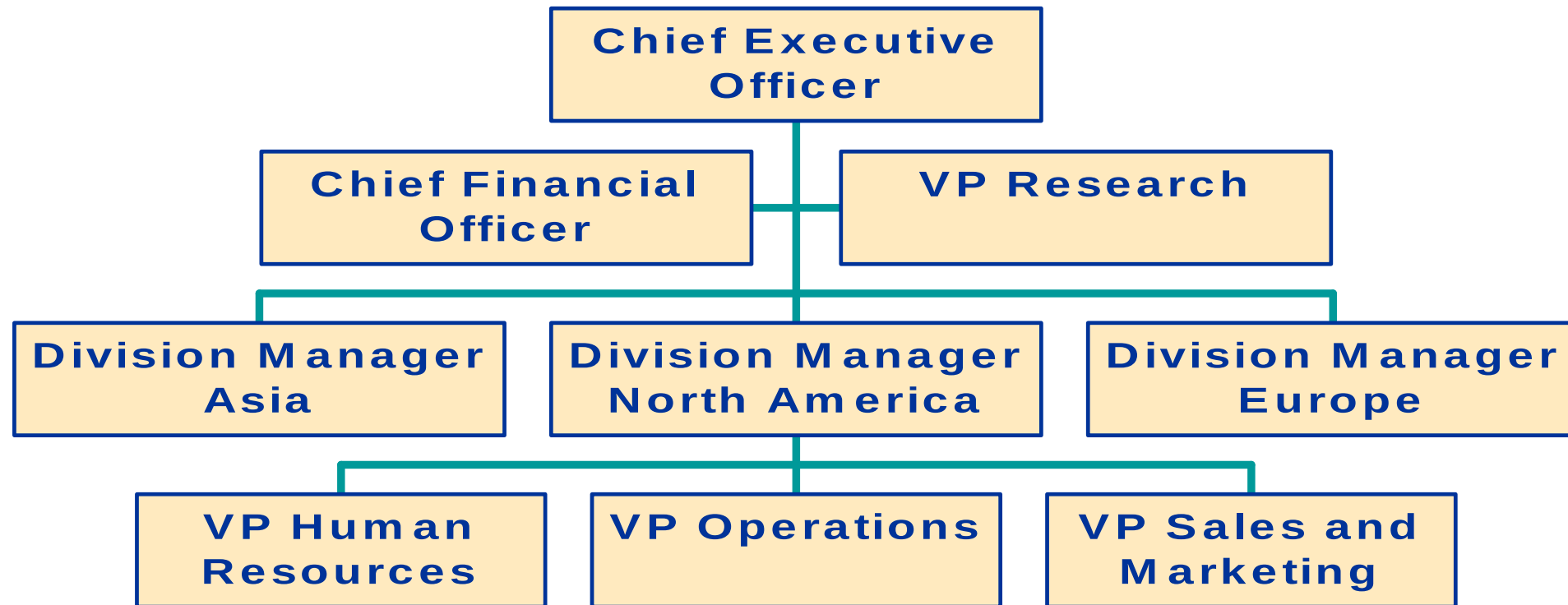
ORGANISATIONAL STRUCTURE



Bharti Airtel - Organization Structure



The Divisional Organization



The Divisional Form

Advantages

- Recognizes interdepartmental interdependencies
- Fosters an orientation toward overall outcomes and clients
- Allows diversification and expansion of skills/training
- Ensures accountability by departmental managers and promotes delegation
- Heightens departmental cohesion and involvement in work

Disadvantages

- May use skills and resource inefficiently
- Limits career advancement by specialists
- Impedes specialists' exposure to others within same specialties
- Puts multiple-role demands upon people and creates stress
- May promote departmental objectives as opposed to overall organizational goals



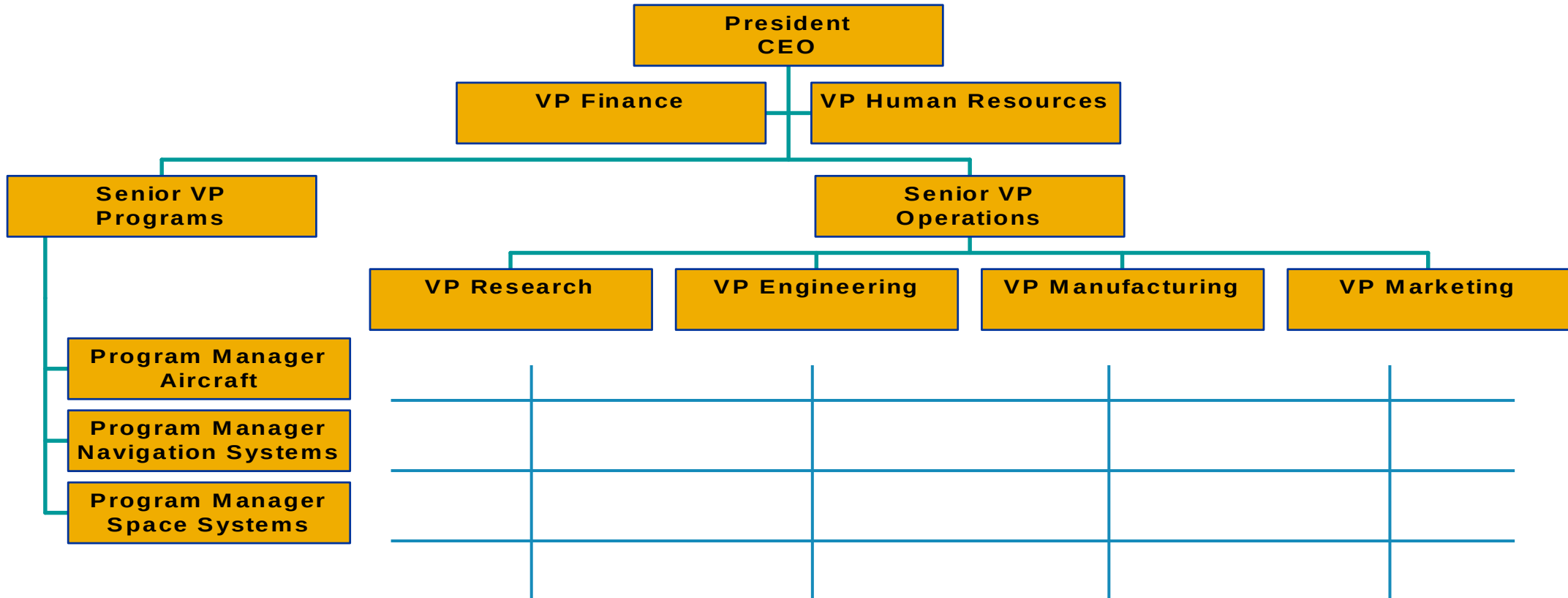
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Matrix Organizational Structure



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The Matrix Organization



The Matrix Structure

Advantages

- Makes specialized, functional knowledge available to all projects
- Use people flexibly
- Maintains consistency by forcing communication between managers
- Recognizes and provides mechanisms for dealing with legitimate, multiple sources of power
- Can adapt to environmental changes

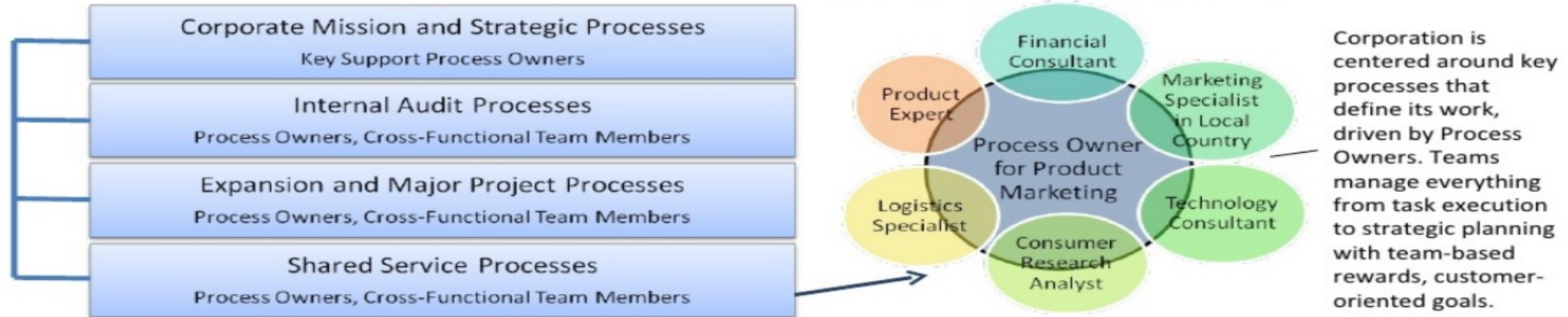
Disadvantages

- Can be difficult to implement
- Increases role ambiguity, stress, and anxiety
- Performance is lowered without power balancing between projects and functions
- Makes inconsistent demands and can promote conflict and short-term crisis orientation
- May reward political skills over technical skills

When is Matrix Structure Appropriate:

- When there are many customers with unique demands that require technical sophistication
- Organization is serving a large number of different markets with broad range of products and services
- When there is pressure for shared resources and customer demands are varied with specific technical requirements

The Process-Based Structure



Advantages	Disadvantages	Works Best When..
1. Dramatic improvement of speed, efficiency 2. Adapts to environment changes rapidly 3. Reduces boundaries between departments 4. Lowers cost due to less overhead structure	1. Threatening to middle managers, specialists 2. Duplicates scarce resources 3. Command-control mindsets must change 4. Decision-making is longer in these teams	1. Business environment is uncertain and changing 2. Organisation is moderate to large in size 3. High customer-oriented goals 4. Non-routine and highly interdependent workflow and technologies required

Characteristics of Process-Based Structures

- Processes drive structure around 3-5 key processes
- Work adds value and simplified by eliminating nonessential tasks and layers of management
- Teams are fundamental, designed around customers requirement are generally self managing and accountable for the goals and performance
- Performance assessment and reward system are predominantly teams based

The Process-Based Structure



The Process-Based Form

Advantages

- Focuses resources on customer satisfaction
- Improves speed and efficiency
- Adapts to environmental change rapidly
- Reduces boundaries between departments
- Increases ability to see total work flow
- Enhances employee involvement
- Lowers costs due to overhead

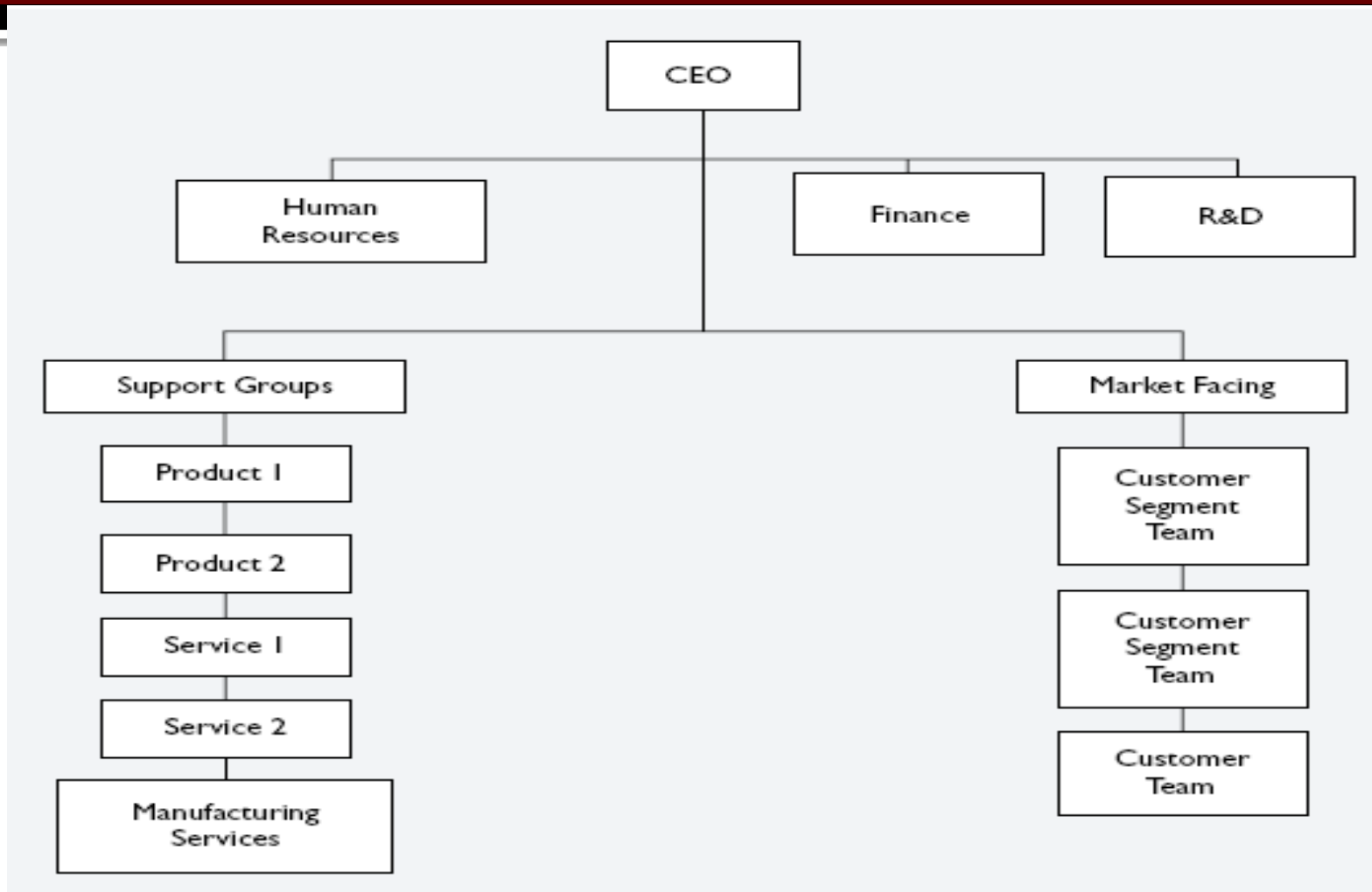
Disadvantages

- Can threaten middle managers and staff specialists
- Requires changes in command-and-control mindsets
- Duplicates scarce resources
- Requires new skills and knowledge to manage lateral relationships and teams
- May take longer to make decisions in teams
- Can be ineffective if wrong processes are identified

When is Process Based Structure more Appropriate

- When customer demands and market conditions change rapidly
- When organization has to work with non routine technology and interdependent work flows
- Heavily focused on customer-oriented goals
- This design is suitable for the organizations of moderate to large size

The Customer Centric Structure



The Customer Centric Form

Advantages

- Presents one integrated face to the customer
- Generates a deep understanding of customer requirements
- Enables organization to customize and tailor solutions for customers
- Builds a robust customer response capability

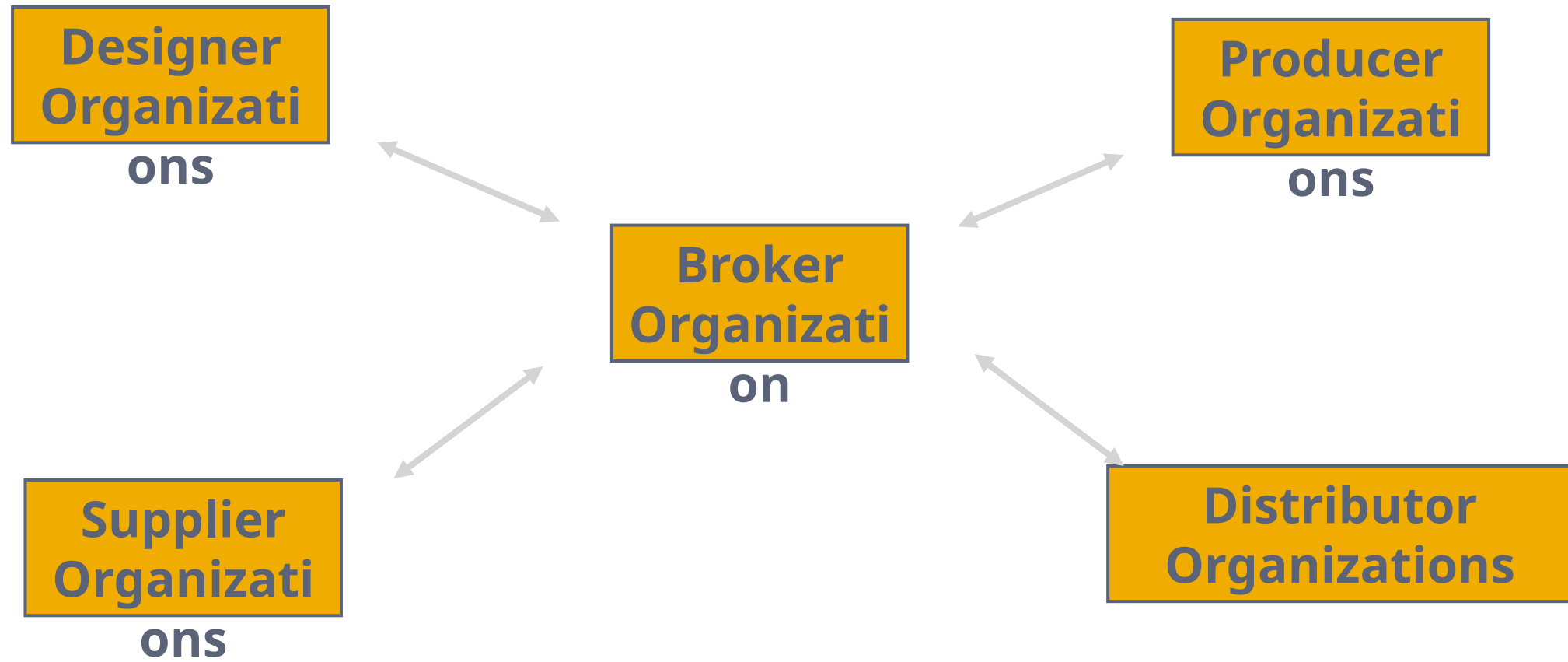
Disadvantages

- Customer teams can be too inwardly focused
 - Sharing learnings and developing functional skills is difficult
 - Managing lateral relations between customer-facing and back office units is difficult
 - Developing common processes front and back is problematic
 - Clarifying the marketing function is problematic

Requisite for Customer Centric Organization to be Successful

- Strong lateral capabilities like IT, Capital allocation, resources prioritization to integrate the front and back end of organization
- Presence of strong customer forces in complex and uncertain environment

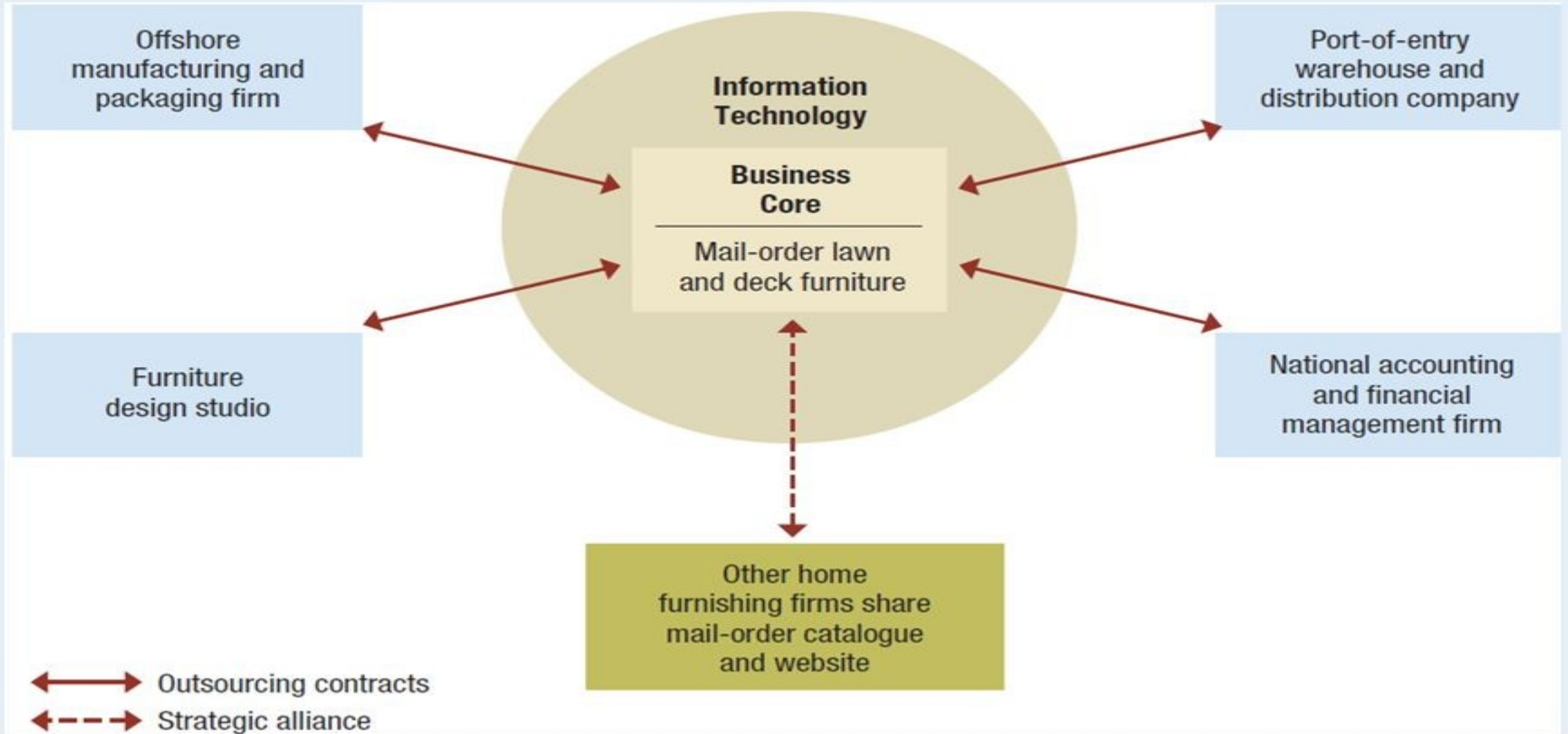
The Network Organization



Types of Networks

- Internal Market Network: Ex. Asea Brown Boveri (ABB)
- Vertical Market Network: Ex. Nike
- Intermarket Network: Keiretsu, Chaebol
- Opportunity Network: Ex. Li and Fung; a trading company of Hing Kong

Web Based Retail Business



Special Features of Network Structures

- Vertical Disaggregation is different functions and departments
- Managed by 'Broker Organizations' or 'Process Orchestrators'
- Coordination through informal relationships, contracts and market mechanisms

The Network-Based Form

Advantages

- Enables highly flexible and adaptive responses
- Creates a “best of the best” firm to focus resources on customer and market needs
- Each organization can leverage a distinctive competency
- Permits rapid global response
- Can produce “synergistic” results

Disadvantages

- Difficulty managing lateral relationships across autonomous organizations
- Difficulty motivating members to relinquish autonomy to join network
- Sustaining membership and benefits can be problematic
- May give partners access to proprietary knowledge and technology